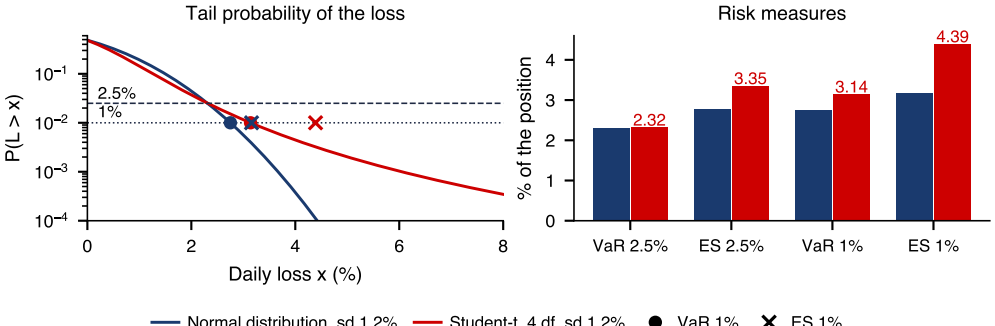
Tail probability of the loss
P(L > x)
10^-1
10^-2
10^-3
10^-4
2.5%
1%
0
2
4
6
8
Daily loss x (%)
Risk measures
% of the position
0
1
2
3
4
2.32
3.35
3.14
4.39
VaR 2.5%
ES 2.5%
VaR 1%
ES 1%
Normal distribution, sd 1.2%
Student-t, 4 df, sd 1.2%
VaR 1%
ES 1%